A partially signed transaction is a container for a transaction that is not finished yet. Each wallet that touches it adds what it knows, and nobody has to trust anybody else with private keys.

The creator proposes the inputs and outputs. The updater adds previous outputs, scripts and derivation paths so that signers can check what they are about to approve.

A hardware wallet can show the real fee before it signs, because the container carries the full previous outputs. That closed an attack in which a malicious computer lied about the amounts.

Taproot lets a wallet hide unused spending conditions behind a single public key. When everyone agrees, the coins move with one signature and the script is never revealed.

Fees are a market. Every block has limited room, and miners pick the transactions that pay the most for the space they use.